

Taxes

Property taxes are most often paid in arrears, which means that you pay 2020's property tax bill in 2021. These taxes are commonly prorated at closing, so you will receive money from the seller to cover the taxes for the portion of the year that they owned the property. This should go directly into your escrow account (where the rest of your first-year tax payment will be held by your lender), but you want to make sure you are receiving all the property taxes that were incurred during the seller's ownership period.

Depending on the time of year, taxes may not have been assessed yet, so you won't know the exact dollar amount you will be charged. While it's common to look at the most recent tax valuation and assume that taxes for the current year will be the same, this can get a bit tricky. Because this varies so much from state to state, we are going to slightly cop out here and tell you to ask your agent for guidance on how to proceed. Though important, this should not be a high-stakes factor in the closing process.

Contingencies

This is a fancy word for "conditions." Most of the items we've mentioned above are contingencies. I'll pay you for the house on the contingency that all goes well with the inspection. I'll pay you \$100,000 on the contingency that the property appraises for at least \$100,000. If the property appraises for only \$99,999, I don't have to continue with the purchase (and I must have a really mean appraiser who won't budge on that extra dollar).

Remember when your mom told you that no one wins with an ultimatum? Well, this is the only situation in which your mom is wrong. Every contingency is an ultimatum, and these ultimatums protect you (and your earnest money) in the event that anything goes wrong during the buying process.

The most common contingencies are loan approval, home inspection, appraisal, and title insurance. Basically, your lender needs to approve your loan, the house can't be secretly falling apart, it needs to be worth at least what you're paying, and there can't be any sneaky clouds on the home's title. If you're currently living in a house that you must sell before buying another, that would be a home sale contingency. If you're moving into a place within an HOA community, the covenant review should also have its own contingency.